Date: 13th September 2023	
Retail Research	IPO Note
Sector: Travel & Tourism	Price Band (Rs): 135 - 142

Yatra Online Limited

Company Overview:

Yatra is India's largest corporate travel services provider in terms of the number of corporate clients and the 3rd largest online travel company in India among key OTA players in gross booking revenue and operating revenue, for FY23. The company is the leading corporate travel service provider in India with 813 large corporate customers and over 49,800 registered SME customers and the third largest consumer online travel company (OTC) in the country in terms of gross booking revenue for FY23. In addition, the travel agent network provides additional scale to the business by leveraging an integrated technology platform in order to aggregate consumer demand from over 29,800 travel agents in more than 1,000 cities across India as of March'23.

Key Highlights:

Integrated service verticals: The company provides various travel related services which include domestic and international air ticketing on nearly all Indian and international airlines, as well as bus ticketing, rail ticketing, cab bookings and ancillary services within India. Yatra also provides access through its online platform to hotels, homestays and other accommodations with about 105,600 hotels in 1,490 cities and towns in India as of FY23 and more than 2 million hotels globally which is the highest hotel inventory amongst key Indian OTA players. The company also provides customers with access to holiday packages and other activities such as visa facilitation, tours, sightseeing, shows and events.

Multi-channel Go to Market approach: The company employs a mix of B2B and B2C sales strategy resulting in cross-selling synergies between business and leisure travellers addressing the entire travel market in India. The distribution channel follows a hybrid platform which is a combination of website, mobile app, nationwide network of travel agents and call centres. The company follows a marketplace platform where third-party vendors can also place their inventory leading to wide range of options for travellers.

Loyal customer base: The company has cumulatively served over 14 million travel customers as on Mar'23 with over half of them having signed up for the eCash loyalty program. The loyalty program helps to strengthen customer loyalty and provides an incentive to the employees of the corporate customers to transact on Yatra's platform as B2C customers. The eCash loyalty program is a proprietary loyalty program of the company that enables travelers to book through the platform to accumulate and redeem points wherever applicable. It fills the loyalty gap that exists across product categories such as air travel and hotels in the travel market in India. The company currently has about 7 million eCash registered users on the platform.

Excellent retention rate in corporate segment: In the corporate travel business, the company has served over 800 large corporate customers where the customer retention rate has improved from 97% in FY21 to 98% in FY22 and remains consistent in FY23 at 98%.

Valuation: The company is valued at FY23 P/S multiple of 5.9x at the upper price band on post-issue capital. The company's revenue has grown at a CAGR of 74% over FY21-23 on back of recovery seen in travel post Covid. The company also turned profitable in FY23 posting a profit of Rs 7.6 cr against loss of Rs 30.8 cr in FY22 and Rs 118.9 cr in FY21.

Issue Details	
Date of Opening	15th September 23
Date of Closing	20th September 23
Price Band (Rs)	135 – 142
Issue Size (Rs cr)	766 – 775
No. of shares	5,67,75,692 – 5,45,77,465
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	2,148 – 2,228
BRLMs	SBI Capital Markets, DAM Capital Advisors, IIFL Securities
Registrar	Link Intime India Private Limited
Bid Lot	105 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB (HNI) shares	15%

Objects of Issue	(Rs Cr.)
Gross proceeds from fresh issue	**602.0**
Strategic investments, acquisitions and inorganic growth	150.0
Investment in customer acquisition & retention, technology and other organic growth initiatives	392.0
General Corporate Purposes	-

Shareholding Pattern

Pre-Issue	No. of Shares	%
Promoter & Promoter Group	11,29,01,597	98.6
Public & Others	16,20,230	1.4
Total	**11,45,21,827**	**100.0**

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	10,11,49,858	63.6
Public & Others	5,79,64,562	36.4
Total	**15,91,14,420**	**100.0**

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	10,11,49,858	64.5
Public & Others	5,57,66,335	35.5
Total	**15,69,16,193**	**100.0**

Source: RHP, SSL Research

Risk Factors

- **Competition:** Intense competition in the Indian online travel industry requires higher marketing and sales promotion expenses to compete effectively against new entrants and existing players in the market. These incentives include cash incentives as well as loyalty program incentives. Higher incentives may impact profitability and cash flows.
- **Regulatory:** The regulatory environment in India is evolving and results in frequent changes and amendments in rules, regulations and tax laws. This is likely to increase the compliance cost for the company.
- **Dependence on airlines:** The company is dependent on the airline ticketing business, which generates a significant percentage of the revenues and is derived from a small number of airlines in India.
- **Technology:** The company could be negatively affected by changes in Internet search engine algorithms and dynamics, or search engine disintermediation.
- **Strategic Partnerships:** Failure in pursuing strategic partnerships and acquisitions or realizing benefits from future partnerships and acquisitions may adversely impact cash flows and profitability.
- **One-time write-downs or write-offs:** The company may be required to take write-downs or write-offs, restructuring and impairment or other charges that could have a significant negative effect on the financial condition, results of operations and cash flows.
- **Relationships with travel suppliers is the key:** The company's business depends on the relationships with a broad range of travel suppliers, and any adverse changes in these relationships, or any inability to enter into new relationships, could negatively affect the business, cash flows, and results of operations.
- **Fees/Commission:** The commission and other fees that the company receives from airline suppliers (including from GDS service providers) for the sale of air tickets may be reduced or eliminated, and this could adversely affect the business and results of operations.

Growth Strategy

- **Increase in customer base:** Grow the customer base by providing seamless and integrated technology platform to business and leisure travellers
- **Wallet Share:** Grow wallet share with existing customers and leverage the multi-channel approach and loyalty programs
- **Strengthen Corporate Business:** Further strengthen focus on corporate business through faster onboarding of new customers
- **New Product Offerings:** Invest in technology to scale up and launch new product offerings
- **Inorganic Growth:** Fuel growth through innovative acquisition strategies
- **Penetration in Tier 2/3 cities:** Leverage existing travel agent network in Tier 2 and Tier 3 cities

Revenue by Product Types

Particulars	FY21		FY22		FY23	
	Revenue (Rs cr)	% of Total Operating Revenue	Revenue (Rs cr)	% of Total Operating Revenue	Revenue (Rs cr)	% of Total Operating Revenue
Air Ticketing	89.3	71%	115.0	58%	178.0	47%
Hotel & Packages	15.7	13%	51.2	26%	144.6	38%
Other Services	3.1	2%	14.6	7%	15.4	4%
Other operating income (Ad Revenue)	17.3	14%	17.2	9%	42.2	11%
Revenue from Operations	**125.5**	**100%**	**198.1**	**100%**	**380.2**	**100%**

Operational and Financial Metrics

(Values in Rs cr)	FY21	FY22	FY23
Gross Bookings [1]			
Air Ticketing	1,300.2	2,764.9	5,640.8
Hotels and Packages	170.4	347.9	815.3
Other Services	111.0	316.2	281.1
Total Gross Bookings	1,581.6	3,429.0	6,737.3
Air passengers booked (mn)	2.6	3.7	5.6
Stand-alone hotel room nights booked (mn)	0.5	1.0	1.8
Packages passengers travelled [2]	2,680	9,290	19,430

Financial Metrics (Values in Rs cr)	FY21	FY22	FY23
Adjusted Margin[3]			
Adjusted Margin - Air Ticketing	148.8	221.1	433.5
Adjusted Margin - Hotels and Packages	33.6	59.8	106.5
Adjusted Margin - Other Services	4.7	16.1	17.8
Other operating income	17.3	17.2	42.2
Revenue from operations (A)	**125.5**	**198.1**	**380.2**
Other income	18.2	20.7	17.3
Total Income	**143.6**	**218.8**	**397.5**
Total Expenses	210.4	245.0	385.2
Adjusted EBITDA [4] (B)	**(5.1)**	**32.1**	**67.0**
Adjusted EBITDA Margin [5] (C = B/A)	***(4.0%)***	***16.2%***	***17.6%***
Restated profit/(loss) (D)	**(118.9)**	**(30.8)**	**7.6**
Restated profit/(loss) Margin [6] (E=D/A)	(94.8%)	(15.5%)	2.0%
Restated Profit/(loss) before tax	**(112.2)**	**(29.3)**	**12.2**
Adjusted Margin % [7]			
Adjusted Margin % - Air Ticketing	11.4%	8.0%	7.7%
Adjusted Margin % - Hotels and Packages	19.7%	17.2%	13.1%
Adjusted Margin % - Other Services	4.3%	5.1%	6.3%

Source: RHP, SSL Research

(1) Gross Bookings represent the total amount paid by the customers for travel services, freight services and products booked through the company, including taxes, fees and other charges, and are net of cancellation and refunds.

(2) The quantitative data of the numbers of passengers travelled under the packages sold by the company for the relevant year.

(3) The company evaluates its financial performance based on Adjusted Margin which represents revenue from operations excluding other operating income after deducting service cost and adding back expenses related to customer inducement and acquisition costs that have been reduced from revenue from operations. Promotional expenses in the nature of customer inducement/acquisition costs for acquiring customers and promoting transactions across various booking platforms, such as upfront incentives and loyalty programs cost, some of which, when incurred are recorded as reduction from revenue from operations basis in compliance with the accounting standards as per Ind AS. In order to reflect the value of revenue earned, the customer acquisition and inducement cost is added back to determine Adjusted Margin.

(4) Adjusted EBITDA = Restated profit/ (loss) for the year + Tax expense/(benefits) + Finance Costs + Depreciation and Amortisation + Interest Income (bank deposits and others) + Unwinding of discount on other financial assets + Foreign exchange gain (net) + Exceptional items + Share-based payment expenses + Share of (profit)/loss from joint venture + Listing and related expenses.

(5) Adjusted EBITDA Margin = EBITDA / Revenue from operations.

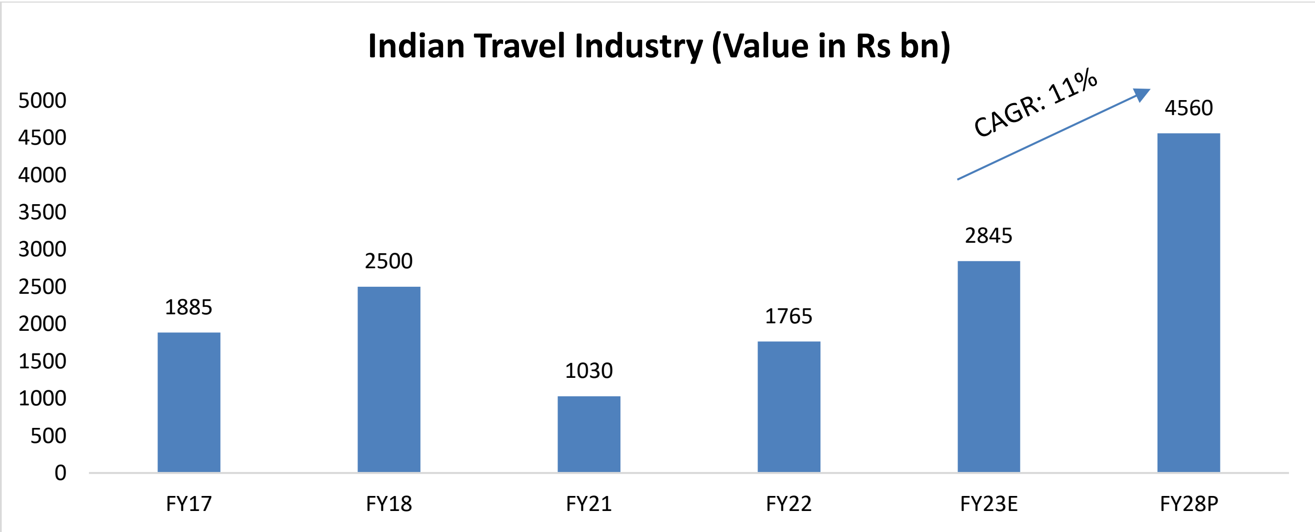
(6) Restated profit/(loss) for the year Margin = Restated profit/(loss) for the year / Revenue from operations.

(7) Adjusted Margin % represents the net margin ratio of the particular product that is Air Ticketing, Hotels and Packages and Other. Service and is defined as Adjusted Margin as a percentage of Gross Bookings.

Industry Overview

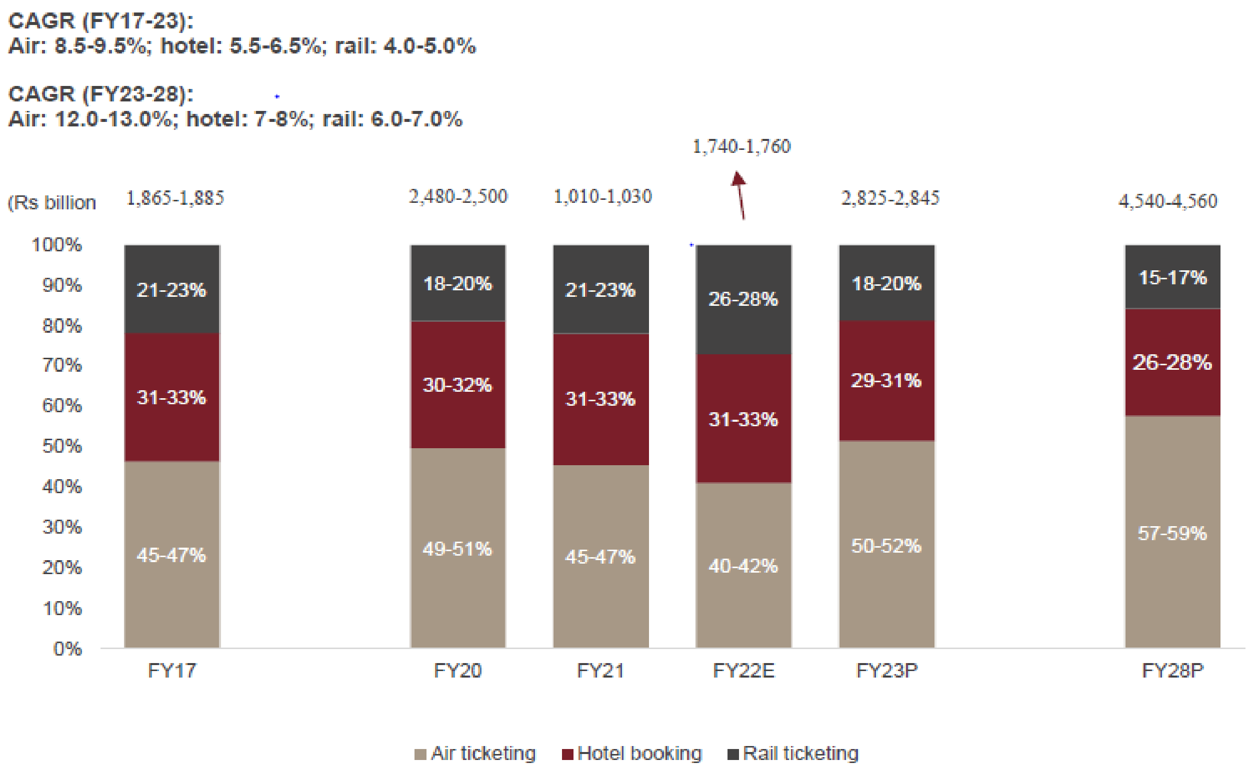
Indian Travel Industry – Trend and Outlook

The Indian travel industry grew at 6-8% CAGR between FY17 to FY23 to a size of Rs 2,845 bn led by a growing economy, geographical and cultural diversity and various government initiatives. The growth momentum is expected to continue with the industry expected to grow annually by 9-11% to Rs 4,540-4,560 bn by FY28. This will be driven by development of tourism infrastructure, rising income levels translating to higher discretionary spending on travel and tourism, increase in frequency of travel for business and leisure purposes, visa reforms and increase in connectivity across different modes of transport.



Source: RHP, CRISIL MI&A

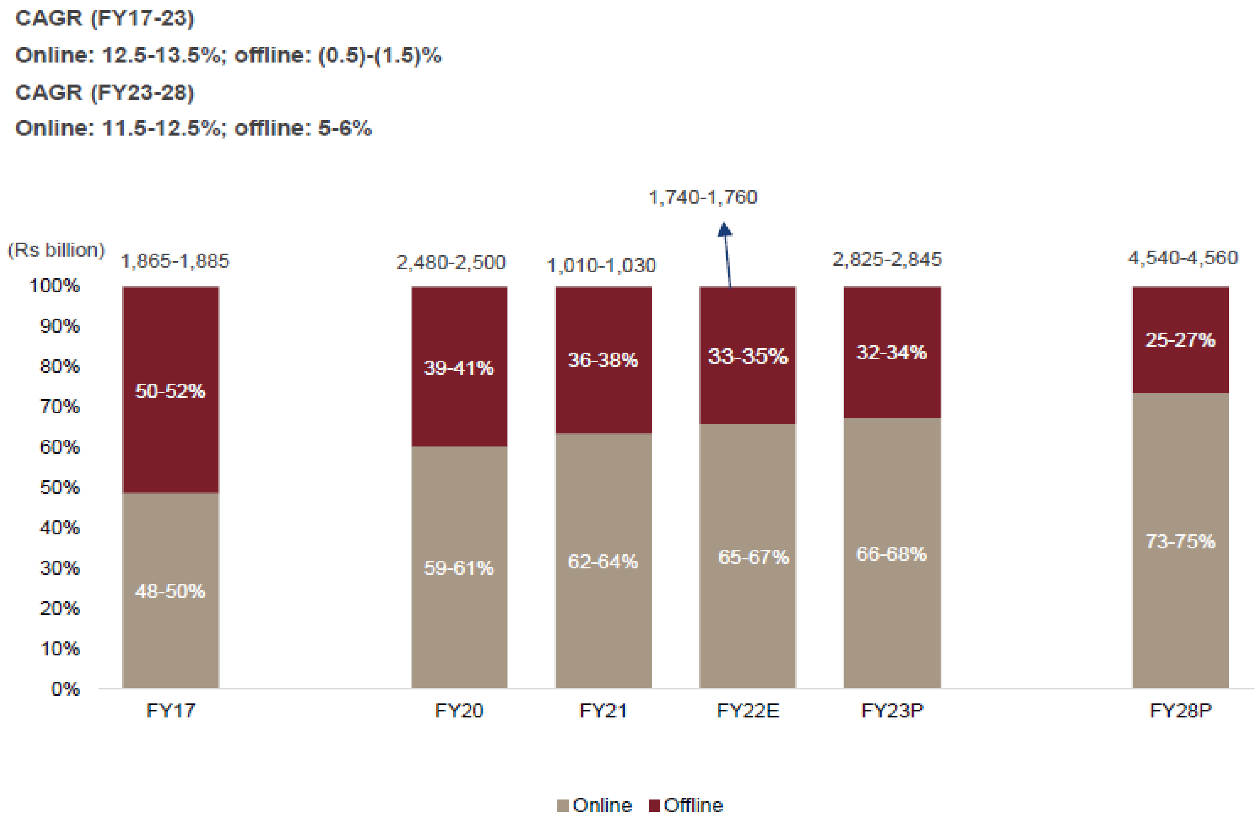
Segment-wise share in the Indian travel market



Source: RHP, CRISIL MI&A

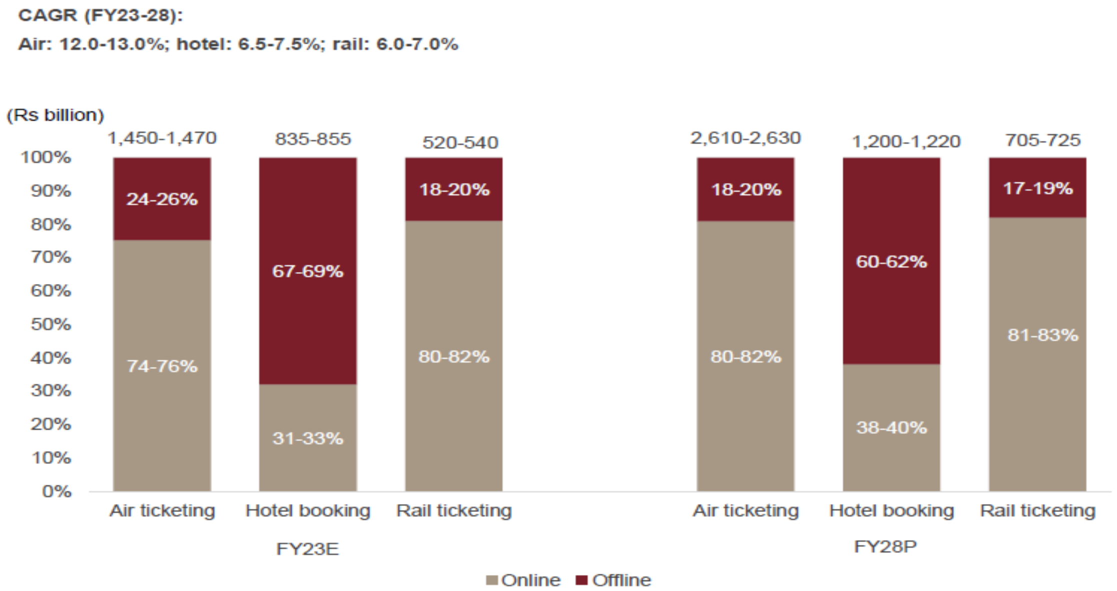
Rising online penetration in the Indian travel market

Ticketing services across travel segments in India have undergone a dramatic change thanks to increased internet penetration, greater affordability of smart phones, user friendliness of online platforms, convenience in terms of comparison, varied modes of payments (credit cards, debit cards, UPI and net banking) and faster pace of service providers adopting digital platforms for their respective businesses. Online penetration defined as share of bookings done online via captive websites of the service providers or through OTAs of the Indian travel industry stands at 66-68% as of FY23. It is expected to increase to 73-75% by FY28 supported by growth in online transactions.



Source: RHP, CRISIL MI&A

Segment-wise share of online penetration in India

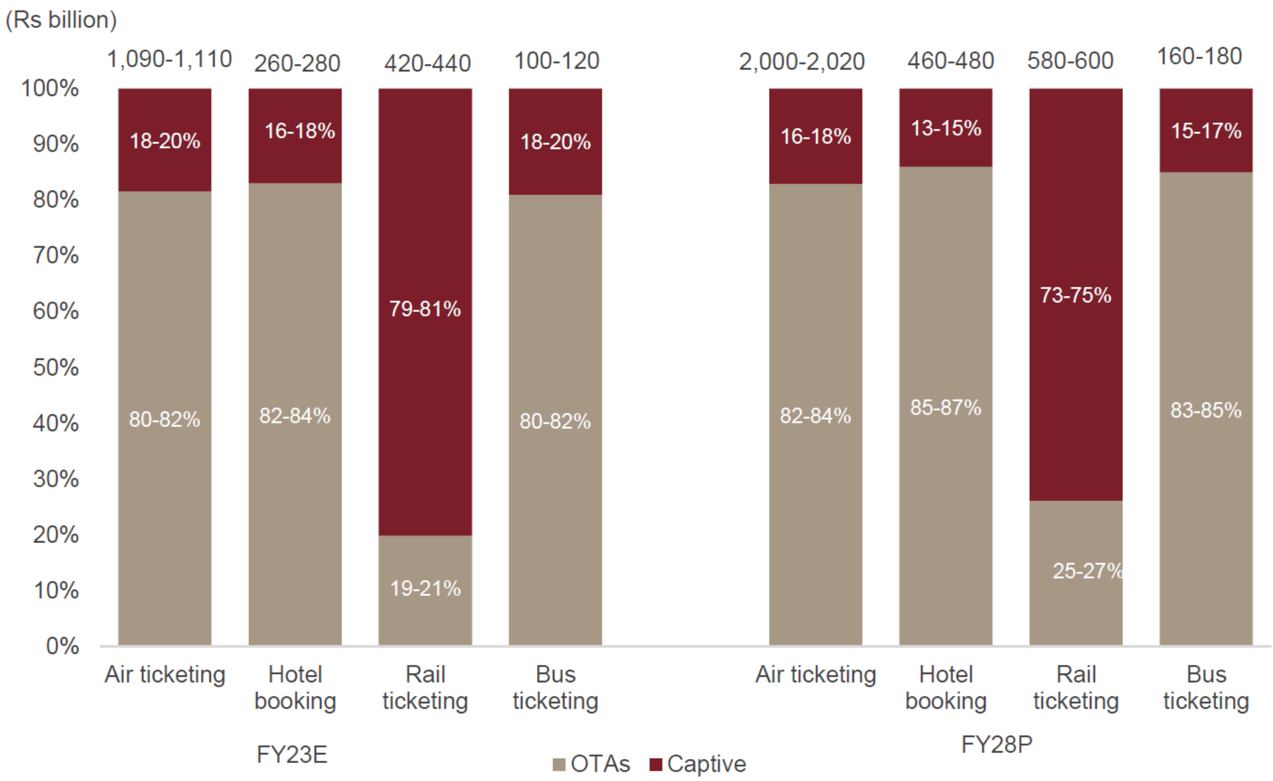


Source: RHP, CRISIL MI&A

OTAs to retain edge over captive websites in the Indian online ticketing market

OTAs enjoy 80-82% share currently in the online air ticketing, online hotel booking and online bus ticketing segments, much higher than captive websites' 18-20% share. This is mainly due to better convenience on OTA platforms, availability of various options across airlines and time slots, ease of comparison and competitive pricing. OTAs have a lower share in railway ticketing segment as IRCTC is the sole operator of the railway ticket booking platform. Rail ticket bookings on OTAs are also routed through the IRCTC platform. This is expected to continue in the medium term.

Share of OTAs in total online ticketing industry in India



Source: RHP, CRISIL MI&A

Financial Snapshot

Yatra Online Limited			
(Rs. Cr.)	**Pre-Issue**	**Post Issue**	
	FY22	**FY23**	
Particulars		**Price Band**	
Price/share (Rs)	135.0	135.0	142.0
Net Sales	198.1	380.2	380.2
Total Income	218.8	397.5	397.5
EBIDTA	-4.7	36.7	36.7
PAT	-30.8	7.6	7.6
Equity Share Capital	11.2	15.9	15.7
No of Equity Shares	11.2	15.9	15.7
Face Value	1.0	1.0	1.0
EPS	-2.8	0.5	0.5
CMP	135.0	135.0	142.0
Cash and Bank	128.0	704.3	704.3
Debt	35.9	153.1	153.1
Market Cap	1,510.5	2,148.0	2,228.2
BV per share (Rs)	9.0	48.5	49.2
PE(x)	NA	281.5	292.0
P/BV (x)	15.0	2.8	2.9
Enterprise Value	1,418.4	1,596.8	1,677.0
Mcap/Sales (x)	7.6	5.7	5.9
EV/Sales (x)	7.2	4.2	4.4
EV/EBIDTA (x)	NA	43.6	43.7
EBITDA Margins (%)	-2.4	9.6	9.6
Net Margins (%)	-15.5	2.0	2.0
ROE (%)	-27.4	1.7	1.7
ROCE (%)	-8.8	6.7	6.7
Debt/Equity	0.4	0.2	0.2
Net worth	100.9	771.5	771.5

Source: RHP, SSL Research (Post Issue)

Year	FY21	FY22	FY23
Net Sales	125.5	198.1	380.2
EBITDA	-22.8	-4.7	36.7
Net Profit	-118.9	-30.8	7.6
EBITDA Margin (%)	-18.2	-2.4	9.6
Net Profit Margin (%)	-94.7	-15.5	2.0

Source: RHP, SSL Research

Source: RHP, SSL Research

	FY21	FY22	FY23
Cash flow from Operating Activities	104.1	-83.4	-153.1
Cash flow from Investing Activities	-21.1	-8.4	-16.7
Cash flow from Financing Activities	6.5	20.1	138.4
Free Cash Flow	55.9	-93.2	-167.5

Source: RHP, SSL Research

Peer Comparison

(Value in Rs cr)	Yatra Online Limited	Ease Trip Planners Limited
EV (Rs cr)	1,677.0	6,807.0
CMP	142.0	39.0
Sales (Rs cr)	380.2	449.0
EBITDA (Rs cr)	36.7	178.0
Net Profit (Rs cr)	7.6	134.0
MCap (Rs Cr)	2,228.2	6,772.0
EBITDA Margin (%)	9.6	39.6
EV/Sales	4.4	15.2
PE(x)	292.0	50.5
RoE (%)	1.7	36.2
RoCE (%)	6.7	42.2

(Source: RHP, SSL Research)

The data is based on FY23 financial data, For Yatra Online Limited the data is calculated on post-issue equity share capital.

CMP as on 13th September'23.

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